

# How to Choose the Right Stock to Purchase

## Lesson 2: Key Stock Market Terms

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### Key Stock Market Terms - Study Notes

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#### Key Concepts

1. **Ticker Symbol** – The unique series of letters that identifies a publicly traded company on an exchange.
2. **Market Capitalization (Market Cap)** – The total market value of a company's outstanding shares (share price × shares outstanding).
3. **Dividend** – A cash (or sometimes stock) payment made by a company to its shareholders, usually derived from profits.
4. **Price to Earnings (P/E) Ratio** – A valuation metric that compares a company's current share price to its earnings per share (EPS).

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#### Summary

Understanding the basic language of the stock market is essential for anyone beginning to invest or follow financial news. The **ticker symbol** is the shorthand that lets you quickly locate a company's price and trading activity on a screen or a brokerage platform. **Market capitalization** gives you a snapshot of a company's size and helps categorize firms into small cap, mid cap, or large cap groups, which can influence risk and growth expectations.

A **dividend** is a way for profitable companies to return cash to shareholders, and the dividend yield (annual dividend ÷ share price) is often used to compare income generating stocks. The **P/E ratio** provides insight into how the market values a company's earnings; a high P/E may indicate growth expectations, while a low P/E could suggest undervaluation or underlying problems. Together, these terms form the foundation for reading stock quotes, evaluating company health, and making informed investment decisions.

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#### Important Points

- **Ticker Symbol**
  - Usually 1–5 letters (e.g., **AAPL** for Apple, **TSLA** for Tesla).
  - May differ between exchanges (e.g., **BRK.A** vs. **BRK.B** for Berkshire Hathaway classes).
- **Market Capitalization**
  - **Large cap:** > /\$10 /billion
  - **Mid cap:** \$2 /billion – \$10 /billion
  - **Small cap:** < /\$2 /billion
  - Calculated as: `Share Price × Shares Outstanding`.
- **Dividend**
  - Declared by the board; can be **quarterly**, **annual**, or **special**.

- **Dividend Yield** =  $\text{Annual Dividend per Share} \div \text{Current Share Price}$ .
- Not all companies pay dividends—growth oriented firms often reinvest earnings.
  - **P/E Ratio**
- **Trailing P/E**: Uses earnings from the past 12 months.
- **Forward P/E**: Uses projected earnings for the next 12 months.
- Interpretation:
  - **High P/E** !' investors expect strong future growth.
  - **Low P/E** !' stock may be undervalued or the company may face challenges.
    - **Interrelationships**
- Larger market cap companies tend to pay more stable dividends.
- P/E ratios can differ widely across sectors; compare within the same industry.

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## Examples

### 1. Apple Inc. (AAPL)

- **Ticker**: AAPL
- **Market Cap**: \$2.8 /trillion (large cap)
- **Dividend**: \$0.24 per share quarterly !' annual dividend \$0.96.
- **Dividend Yield**:  $\$0.96 \div \$170 = 0.56\%$ .
- **Trailing P/E**: 28× (price \$170 ÷ EPS \$6.07).
- **Interpretation**: A large, profitable company with modest dividend yield and a moderate P/E, reflecting steady growth expectations.

### 2. Ford Motor Company (F)

- **Ticker**: F
- **Market Cap**: \$55 /billion (mid cap).
- **Dividend**: \$0.10 per share quarterly !' annual dividend \$0.40.
- **Dividend Yield**:  $\$0.40 \div \$12 = 3.3\%$ .
- **Trailing P/E**: 6× (price \$12 ÷ EPS \$2.00).
- **Interpretation**: A lower priced, mid cap stock with a higher dividend yield and a low P/E, suggesting possible undervaluation or industry specific risk.

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## Quick Review

1. What does a ticker symbol represent, and why is it important for investors?
2. How do you calculate market capitalization, and what does it tell you about a company?
3. Define dividend yield and explain how it is calculated.
4. What is the difference between trailing P/E and forward P/E?
5. Why should you compare P/E ratios within the same industry rather than across all sectors?

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## Further Reading

- **Sector Specific Valuation Metrics** (e.g., price to book for banks, EV/EBITDA for industrials).
- **Growth vs. Income Investing** – How dividend policies influence portfolio strategy.

- **\*\*Understanding Earnings Reports\*\*** – The source data for EPS and P/E calculations.
- **\*\*Market Capitalization Categories\*\*** – Risks and opportunities associated with small cap vs. large cap stocks.
- **\*\*Dividend Reinvestment Plans (DRIPs)\*\*** – Leveraging dividends for compounding returns.

